*BECKER CPA STUDY COMPANION*

# FASB ASC 250: ACCOUNTING CHANGES AND ERROR CORRECTIONS

*An Exhaustive Workbook-Style Textbook Chapter*

**DEFINITION:** This workbook serves as an absolute, word-for-word extraction and complete logical synthesis of the technical curriculum in F2M2. It has been specifically designed to ensure zero information loss for CPA candidates with high technical standards and a low tolerance for skipped edge cases.

## TABLE OF CONTENTS

# I. Changes in Accounting Estimate (ASC 250-10-45)

An **accounting estimate change** represents an operational adjustment necessitated by new information, subsequent developments, or additional analytical experience. Estimates are a natural and inherent component of accrual-basis accounting, and revisions to these figures must not be confused with mistakes or procedural failures.

> **DEFINITION:** An adjustment of the carrying amount of an asset or a liability, or the accompanying periodic consumption of an asset, that results from the reassessment of the present status of, and expected future benefits and obligations associated with, assets and liabilities.

### Three Core Pillars of Estimate Changes:

- **It is not an error:** An estimate change is based on the arrival of new, superior information. It does not represent a correction of a past mistake, misapplication of GAAP, or math error.
- **Do not restate prior years:** U.S. GAAP strictly prohibits retrospective adjustments to previously issued financial statements for a change in estimate.
- **Follow the prospective approach:** Adjustments are recognized only in the current period and future periods.

### Prospective Application Methodology:

Under the prospective approach, the newly revised estimate is incorporated into the accounting system starting on the first day of the fiscal year in which the change is made. The revised figures affect both the **Balance Sheet** (through asset/liability carrying values) and the **Income Statement** (through current and future operating expenses or revenues). Because past periods are left completely untouched, there is **absolutely no cumulative effect recorded, and previously reported Retained Earnings balances remain unchanged**.

### Events Resulting in Estimate Changes:

Candidates must memorize the standard operational events that trigger prospective accounting estimate changes. Under FASB ASC 250, these include: changes in the useful lives of fixed assets, adjustments to year-end accruals for officers' salaries and bonuses, write-downs of obsolete inventory, changes in estimates driven by shifting economic conditions or customer product demand, the final settlement of outstanding litigation, revisions of estimates regarding discontinued operations, and any change in accounting principle that is inseparable from a change in estimate.

**A Change in Principle Inseparable from a Change in Estimate:** When a change in accounting principle is inseparable from a change in estimate, it is accounted for strictly as a change in estimate (prospective). The two prime exam examples are changing the **depreciation, amortization, or depletion method** (e.g., straight-line to double-declining balance) and changing an inventory cost flow assumption **to LIFO** under U.S. GAAP.

### Financial Statement Footnote Disclosure Rules:

An estimate change that affects future periods **must be disclosed** in the notes to the financial statements. However, ordinary/routine estimate changes that recur as a normal part of business operations affecting future periods need not be disclosed in the footnotes **unless they are material**.

### Computational Application: Carlin Company Depreciation Change

**The Facts:** Carlin Company purchases a commercial delivery truck for **$90,000**. Originally, the truck is estimated to have a useful life of **10 years** with **$0 salvage value** (straight-line depreciation). During Year 3, Carlin's operational management team realizes that due to heavy usage, the truck will only last a **total of five years** from its original purchase date.

**DEFINITION: Step 1: Calculate Remaining Useful Life**
Remaining Useful Life = New Total Useful Life - Years Elapsed
Remaining Useful Life = 5 years - 2 years = **3 years**

**Step 2: Calculate Net Book Value (NBV) at Beginning of the Year of Change (Year 3)**
Historical Depreciation (Year 1 & 2) = ($90,000 / 10 years) * 2 years = $18,000
Net Book Value (Beginning of Year 3) = Original Cost - Accumulated Depreciation
Net Book Value (Beginning of Year 3) = $90,000 - $18,000 = **$72,000**

**Step 3: Calculate Revised Annual Depreciation**
Revised Depreciation = Net Book Value at Year of Change / Remaining Useful Life
Revised Depreciation = $72,000 / 3 years = **$24,000 per year**

| Year | Depreciation Calculation Method | Current Year Depreciation | Accumulated Depreciation | Net Carrying Value |
|---|---|---|---|---|
| Year 1 | $90,000 / 10 Years | $9,000 | $9,000 | $81,000 |
| Year 2 | $90,000 / 10 Years | $9,000 | $18,000 | $72,000 |
| Year 3 | $72,000 / 3 Years (Revised) | $24,000 | $42,000 | $48,000 |
| Year 4 | $72,000 / 3 Years (Revised) | $24,000 | $66,000 | $24,000 |
| Year 5 | $72,000 / 3 Years (Revised) | $24,000 | $90,000 | $0 |

**Impact on Quality of Earnings:** This estimate change significantly impacts the quality of earnings. By increasing the annual depreciation expense from $9,000 to $24,000, Carlin reduces its pretax income by $15,000 per year in Years 3, 4, and 5, reflecting the accelerated economic consumption of the asset.

***EXAM TIP:*** *Changes in depreciation, amortization, or depletion methods are treated as changes in estimate under U.S. GAAP. These are handled prospectively. Do NOT retrospectively restate prior depreciation!*

## II. Changes in Accounting Principle (ASC 250-10-45)

A **change in accounting principle** involves a transition from **one acceptable accounting method under GAAP to another acceptable accounting method under GAAP**. Switching from an unacceptable, non-GAAP method to an acceptable GAAP method is legally defined as an **error correction**, not a change in principle.

> **DEFINITION: The Retrospective Application General Rule:** All changes in accounting principle must be applied using the retrospective approach. This requires adjusting the beginning balances of the earliest period presented, restating all comparative years, and applying the tax-effect adjustment directly to Retained Earnings.
> **Formula for Net of Tax Adjustment: Net of Tax Adjustment = Pretax Adjustment * (1 - Tax Rate)**

### The Rule of Preferability and Consistency:

To prevent entities from manipulating reported numbers, U.S. GAAP dictates that accounting principles must be applied consistently. A change is permitted only if it is mandated by a new FASB Accounting Standards Update (ASU) or if the entity can justify that the alternative principle is preferred because it more fairly presents financial information. **Income smoothing is strictly prohibited**; entities are illegal from switching accounting methods to artificially reduce expenses or lower Cost of Goods Sold (COGS).

### Cumulative Effect Adjustments:

The accounting treatment for the cumulative effect depends on the presentation format of the financials:

- **Comparative Financial Statements Presented:** The entity must apply the new principle to all years presented. The cumulative effect of the change is calculated as the difference between the beginning retained earnings of the earliest period presented and what those retained earnings would have been if the new principle had always been applied. This cumulative effect is presented net of tax as an adjustment to the earliest year's beginning retained earnings in the Statement of Stockholders' Equity.
- **Noncomparative Financial Statements Presented (Current Year Only):** The entity must use the new method in the current period, calculate what prior cumulative earnings would have been under the new method from the inception of the company, and record that cumulative net-of-tax adjustment directly to the current year's beginning retained earnings.

### Exceptions to Retrospective Treatment (Prospective Application):

- **Impracticability:** If it is considered 'impractical' to accurately calculate the cumulative effect adjustment of prior periods, the change is handled prospectively. Under U.S. GAAP, the classic example of this is a change in inventory cost flow assumption **to LIFO**.
- **Change in Depreciation Method:** As discussed in Section I, changing depreciation, amortization, or depletion methods is considered both a change in principle and estimate, and must be handled prospectively.

## Computational Application: Harbor Company Inventory Valuation Change

**The Facts:** On January 1, Year 5, Harbor Company decides to change its inventory accounting method from FIFO (Old Method) to the Weighted Average method (New Method). Harbor's effective corporate tax rate is **30 percent**. Noncomparative financial statements are presented (only Year 5 is shown).

• Pretax income prior to Year 5 under FIFO (Old Method): **$600,000**

• Pretax income prior to Year 5 would have been under Weighted Average (New Method): **$800,000**

**DEFINITION: Step 1: Calculate the Pretax Cumulative Difference**
Pretax Difference = $800,000 (New Method) - $600,000 (Old Method) = **$200,000**

**Step 2: Calculate the Income Tax Effect**
Tax Effect = $200,000 Pretax Adjustment * 30% Tax Rate = **$60,000**

**Step 3: Calculate the Cumulative Effect Net of Income Tax**
Net of Tax Cumulative Effect = $200,000 * (1 - 0.30) = **$140,000**

**Presentation and Reporting:** Harbor Company must record the **$140,000** cumulative effect net of income tax as an upward adjustment to the beginning balance of Year 5 Retained Earnings within the Statement of Stockholders' Equity. Furthermore, Harbor must use the Weighted Average method in Year 5 to calculate its ending inventory and Cost of Goods Sold.

***EXAM TIP:*** *LIFO is the ultimate exception! Changing TO LIFO is treated prospectively (due to the impracticability of reconstructing historical LIFO layers). Changing FROM LIFO to another method is handled retrospectively.*

## III. Changes in Accounting Entity (ASC 250-10-45)

A **change in accounting entity** occurs when the reporting entity's composition changes, resulting in financial statements that essentially represent a different entity. Under U.S. GAAP, this is caused by corporate mergers, corporate acquisitions, or corporate divestitures.

> **DEFINITION: Comparative Restatement Rules (The 'Apples-to-Apples' Comparison):** If a change in entity occurs in the current year, the company must restate all prior period financial statements presented in the comparative set. Legally, the consolidated group must act as if the entities had been integrated from the earliest period presented, eliminating any pre-merger disconnect.

### The ABCD Consolidation Timeline Example:

Suppose the consolidated group ABCD acquires Company D in 2024. When presenting comparative financial statements for 2022, 2023, and 2024, Company D's financials must be retrospectively consolidated into the 2022 and 2023 comparative periods. This provides the investment community with a consistent, homogeneous basis of comparison. Footnote disclosures must fully explain the nature of the change and include changes in income from continuing operations, net income, and retained earnings for all periods.

## IV. Prior Period Adjustments and Error Corrections (ASC 250-10-45)

U.S. GAAP explicitly states that **error corrections are not accounting changes**. They are retrospective adjustments to correct omissions or misstatements in previously issued financial statements. These errors arise from mathematical mistakes, mistakes in the application of U.S. GAAP, or the oversight/misuse of facts that existed when the financial statements were prepared.

> **DEFINITION: Non-GAAP to GAAP Transition:** Moving from a non-GAAP method (such as cash-basis accounting) to an acceptable GAAP method (accrual-basis accounting) is legally classified as an error correction. It requires a full retrospective restatement of prior period financial statements, not a change in principle.

### Reporting Presentations for Error Corrections:

- **Comparative Statements Presented (Error Year is Presented):** The entity must directly correct the error in those prior years' presented financial statements, adjusting each line item.
- **Comparative Statements Presented (Error Year is NOT Presented):** The entity must adjust the opening retained earnings balance of the earliest year presented, net of tax.
- **Comparative Statements NOT Presented (Current Year Only):** The error correction must be reported as a direct, net-of-tax adjustment to the current year's opening balance of retained earnings.

> ***EXAM TIP:*** *Errors must always be restated retrospectively! Be on the lookout for a shift from cash-basis to accrual-basis accounting on the exam. This is an error correction, and the tax-effected cumulative adjustment goes directly to beginning retained earnings.*

# V. Jordan Manufacturing Master Case Study (Integrated Analysis)

**The Challenge:** Jordan Manufacturing (presenting noncomparative Year 4 financials only) must simultaneously account for an **error correction** and a **change in accounting principle** that are discovered and implemented in the same fiscal year. Jordan's effective corporate tax rate is **40 percent.**

**Transaction 1 (The Error):** In Year 4, Jordan discovers that a total of **$4,500,000** of depreciation expense was never recorded during Year 1 and Year 2 due to an oversight.

**Transaction 2 (The Principle Change):** On January 1, Year 4, Jordan changes its inventory valuation method from LIFO (Old Method) to FIFO (New Method).

### Pretax Income Data (Years 1 to 3) under LIFO vs. FIFO:

| Year | Pretax Income under LIFO | Pretax Income under FIFO | Pretax Difference (FIFO - LIFO) |
|---|---|---|---|
| Year 1 | $3,000,000 | $3,750,000 | +$750,000 |
| Year 2 | $3,400,000 | $5,500,000 | +$2,100,000 |
| Year 3 | $4,100,000 | $6,250,000 | +$2,150,000 |
| **Total** | **$10,500,000** | **$15,500,000** | **+$5,000,000** |

### Step-by-Step Computational Solutions:

**DEFINITION: Part A: Analysis of the Depreciation Error Correction**
• Classification: Prior Period Adjustment (Error Correction).
• Unrecorded depreciation causes past net incomes to be overstated. Retained earnings must be reduced.
• Calculation: $4,500,000 Pretax Error * (1 - 0.40) = **$2,700,000 Downward Adjustment** to Beginning RE.

**Part B: Analysis of LIFO to FIFO Change in Principle**
• Classification: Retrospective Change in Accounting Principle.
• FIFO yields higher pretax income. Past earnings were understated relative to FIFO. Retained earnings must be increased.
• Sum of Pretax Differences: $750,000 + $2,100,000 + $2,150,000 = $5,000,000.
• Calculation: $5,000,000 Pretax Increase * (1 - 0.40) = **$3,000,000 Upward Adjustment** to Beginning RE.

### Net Impact on Retained Earnings (January 1, Year 4 Statement of Stockholders' Equity):

To present the financials accurately, Jordan must net these two distinct adjustments together to find the final opening balance restatement effect: **$3,000,000 Upward Adjustment (FIFO change)** minus **$2,700,000 Downward Adjustment (Depreciation error)** results in a **$300,000 Net Increase** to the opening balance of Retained Earnings on January 1, Year 4.

| Retained Earnings Account Reconciliation | Amount (Net of Tax) |
|---|---|
| Opening Retained Earnings (As Originally Reported, Jan 1, Year 4) | $12,000,000 |

| Retained Earnings Account Reconciliation | Amount (Net of Tax) |
|---|---|
| Prior Period Adjustment: Correction of Depreciation Error (Years 1 & 2) | ($2,700,000) |
| Cumulative Effect of Change in Accounting Principle: LIFO to FIFO (Years 1 - 3) | $3,000,000 |
| **Adjusted Opening Retained Earnings (Restated, Jan 1, Year 4)** | **$12,300,000** |

## VI. Summary Matrix of Accounting Treatments

| Accounting Event | GAAP Approach | RE Impact (Net of Tax) | Disclosure Rule | Exam Watch Area |
|---|---|---|---|---|
| Change in Estimate | Prospective | None (Past untouched) | If material/future impact | Depreciation life/salvage |
| Change in Principle | Retrospective | Adjusts earliest RE presented | Required by GAAP/Preferability | LIFO and Depr. method exceptions |
| Change in Entity | Retrospective | Restates comparative years | Full footnotes required | Acquisitions/Mergers |
| Error Correction | Retrospective | Prior Period Adjustment to RE | Full restatement required | Non-GAAP to GAAP transition |